Broker Responsibility Guide

How to Meet TREC Requirements

ADVERTISING

TEXAS REALTORS®

Advertising

Why does this need to be in my manual?

Advertising: TREC ("Texas Real Estate Commission") Rule 535.2(i)(6) requires brokers to maintain written policies and procedures to ensure that a sales agent complies with TREC's advertising rules.

Compliance Procedures: A broker should make efforts to provide a written framework that accomplishes the following:

- Establishes a method to review a sponsored sales agent's advertisements
- Outlines a process to document corrections to advertisements
- Explains how the brokerage will periodically educate and update sales agents on advertising standards

Broker Checklist: A broker's written policies should address the following:

1. Forms of advertising (newspaper, Internet, social media, billboards, emails, text messages, etc.)
2. Distribution methods for advertising
3. General mandated rules for advertising (in addition to TREC rules include federal rules such as Regulation Z and the Truth-in-Lending Act)
4. Brokerage approval process
5. Client solicitation and consent
6. Joint advertising
7. Special promotions

What do I need to know?

Real Estate Advertising: Generally, rules applying to advertising and other solicitations restrict license holders from knowingly publishing advertising that contains any false statement or misrepresentation concerning real estate or real estate services.

TREC Rule 535.155 defines advertising as any form of communication by or on behalf of a license holder designed to attract the public to use real estate brokerage services and includes, but is not limited to, all publications, brochures, radio or television broadcasts, all electronic media, including email, text messages, and social media, the Internet, business stationery, business cards, displays, signs, and billboards.

It does not include communication from a license holder to his or her client or a directional sign that may also contain only the broker's name or logo.

Contents of Advertisement: Each advertisement must include the following information in a readily noticeable location:

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- The name of license holder or team placing the advertisement, and
- The sponsoring broker's name (either a broker entity or individual broker) in at least half the size of the largest contact information. The sponsoring broker's name could be:
- The name shown on the license issued by TREC,
- If an individual, an alternate name registered with TREC, or
- An assumed business name registered with TREC.

Social media or texts: For an advertisement on social media or by text, the required information may be located on a separate page or on the account user profile page of the license holder, if:

- The separate page or account user profile is readily accessible by a direct link from the social media or text, and
- The required information is readily noticeable on the separate page or in the account user profile.

Acts of misconduct: Section 1101.652(b) of the Real Estate License Act lists the conduct for which TREC may impose disciplinary action against a license holder. It includes:

- Publishing or causing to be published an advertisement that misleads or is likely to deceive the public, tends to create a misleading impression, implies that a sales agent is responsible for the operation of the broker's real estate brokerage business, or fails to include the name of the broker for whom the license holder acts, which may be the licensed name, assumed name, or trade name of the broker as authorized by a law of this state and registered with TREC.
- Offering to sell or lease property without the knowledge or consent of the owner or the owner's agent.
- Offering property on terms other than those terms authorized by the owner or the owner's agent.
- Making misrepresentations or false promises through advertising or otherwise.
- Placing a sign on a property for sale or lease without the written consent of the owner or the owner's agent.

TREC Rule 535.155(d) lists ways advertising may be restricted.

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